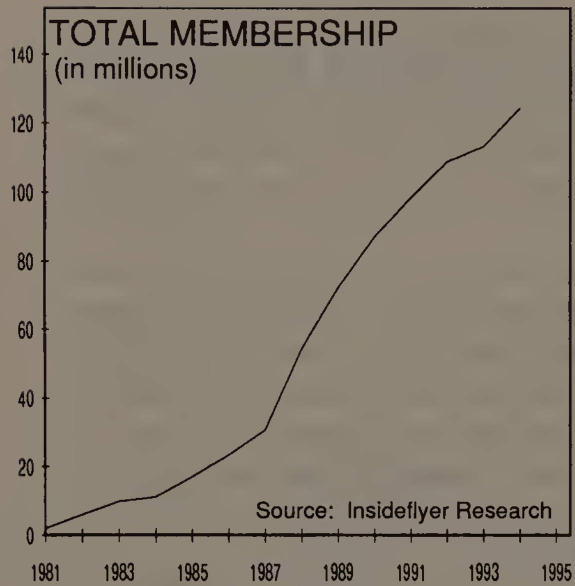

Figure 6-9

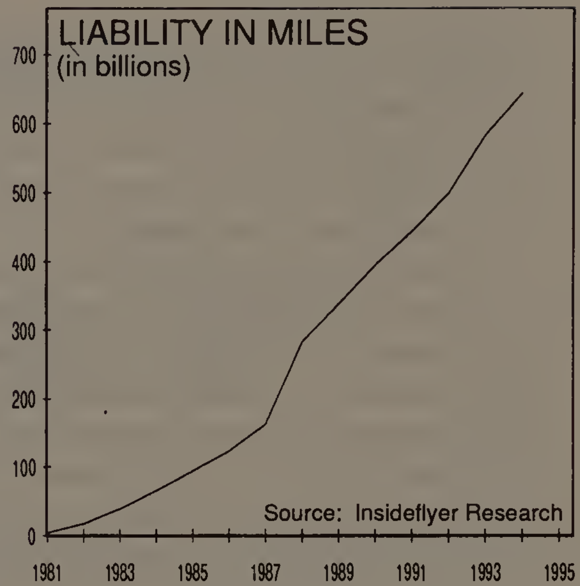

Figure 6-10

just beginning to show up in airlines' policies of further restricting the times and seats available for certificate redemption. This is only a hint of the default that is coming.

Any renewed contraction in the economy will devastate the transportation industry. Yet, the stocks are flirting with all-time highs, reflecting not merely euphoria, but a Buddha-like state of immeasurable complacency that comes (temporarily) from ignoring reality. To own these stocks today is to embrace a bubble that is already rivaling the greatest financial manias of all time, the ones whose statistics are recited to demonstrate the extremes of collective human folly. With its heady mix of hope and denial, the psychological state of the stock market and the reality of the economic background today have never in U.S. history been more divergent.

OUTLOOK

The bear market should carry into the range of the previous fourth wave, wave (IV), from 13.23 to 189.14. It is possible to narrow that range in creating a target because the last time the Dow Jones Transportation Average reached a top of Supercycle degree, in 1929, it fell 93.004% in three years. The current top is of Grand Supercycle degree, so before the bear market is over, the DJTA will have declined *more* than that percentage. From the recent high,